(17) INCOME TAXES

A summary of income tax expense (benefit) follows (in thousands):

	YEARS ENDED		
	DECEMBER 30, 2000	DECEMBER 29, 2001	DECEMBER 28, 2002
Current:			
Federal	$ 177	$ --	$ (625)
State and local	171	--	--
Foreign	578	1,911	1,153
Total current tax expense	926	1,911	528
Deferred:			
Federal	528	(11,130)	2,603
State and local	(42)	(1,952)	363
Foreign	(2,266)	(5,000)	(1,708)
Total deferred tax expense (benefit)	(1,780)	(18,082)	1,258
Total income tax expense (benefit)	$ (854)	$ (16,171)	$ 1,786

A summary of income (loss) before income taxes and cumulative effect of a change in accounting principle by domestic and foreign source follows (in thousands):

	YEARS ENDED		
	DECEMBER 30, 2000	DECEMBER 29, 2001	DECEMBER 28, 2002
Domestic	$ 1,303	$ (20,852)	$ 22,404
Foreign	(7,042)	(17,257)	(5,347)
	$ (5,739)	$ (38,109)	$ 17,057

Income tax expense (benefit) differs from the amount computed by applying the U.S. federal statutory rate of 35.0% to pre-tax income (loss) as follows (in thousands):

	YEARS ENDED		
	DECEMBER 30, 2000	DECEMBER 29, 2001	DECEMBER 28, 2002
Computed "expected" federal tax expense (benefit)	$ (2,009)	$ (13,338)	$ 5,970
State and local tax expense	84	(1,269)	236
Foreign tax benefit	(1,752)	(2,776)	(4,462)
Non-deductible loss on foreign currency forward contract	1,599	--	--
Non-deductible amortization of goodwill	1,156	1,156	--
Meals and entertainment and other	68	56	42
	$ (854)	$ (16,171)	$ 1,786

A summary of the income tax effects of temporary differences that give rise to significant portions of the deferred tax assets and liabilities follows (in thousands):

	DECEMBER 29, 2001	DECEMBER 28, 2002
Current deferred tax assets:		
Accounts receivable	$ 2,525	$ 772
Inventory	761	801
Accruals and provisions	6,829	4,286
Net current deferred tax asset	$ 10,115	$ 5,859
Noncurrent deferred tax assets (liabilities):		
Net operating loss carryforwards	$ 18,378	$ 30,392
Property and equipment	(13,183)	(19,239)
Goodwill and other intangible assets	(17,491)	(21,616)
Accumulated other comprehensive income	1,761	4,405
Foreign	(3,080)	(1,689)
Other	1,030	486
Net noncurrent deferred tax liability	(12,585)	(7,261)
Total net deferred tax liability	$ (2,470)	$ (1,402)

In assessing the realizable value of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which these temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based upon the historical taxable income of the Company and projections for future taxable income over the periods that the deferred tax assets are deductible, management believes it is more likely than not the Company will realize the future benefits of these deductible differences and net operating loss carryforwards at December 28, 2002.

At December 28, 2002, the Company had federal net operating loss carryforwards of $77.3 million, that are available to offset future taxable income through 2022. The deferred tax assets resulting from the Company's federal and state net operating loss carryforwards total $30.4 million. The Company's foreign subsidiaries had net operating loss carryforwards of $5.8 million, which results in a deferred tax asset of $1.7 million. The Company has a valuation allowance of $0.6 million against its foreign net operating loss carryforwards.